

22STCV13457 22STCV13457

County: los-angeles

Division: Civil Law and Motion

Department: 309

Hearing date: 2026-08-26

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Case Number: 22STCV13457 Hearing Date: August 26, 2026 Dept: 309

Superior

Court of California

County

of Los Angeles

DEPARTMENT 309

TENTATIVE RULING

CBD

FRANCHISING, INC.

vs.

CENTRAL

JERSEY DOORS & CLOSETS, LLC, et al.

Case

No.: 22STCV13457

Hearing

Date: August 26, 2026

The Conway's motion to vacate

judgment is GRANTED.

On 4/21/2022, Plaintiff CBD

Franchising, Inc. (Plaintiff) filed a complaint against Defendants Central

Jersey Doors & Closets, LLC, Mary Conway, William Conway, One Day Doors and

Closets, Inc., and One Day Enterprises, alleging causes of action for: (1) breach

of written contract; (2) breach of the implied duty of good faith and fair

dealing; (3) tortious interference with contractual relations; and (4) unlawful

business practices.

On 7/11/2025, the Conways moved to

vacate default against Defendants William Conway, Mary Conway, and Central

Jersey Doors & Closets, LLC (the Conway Defendants) and enter summary

judgment in their favor.

Discussion

Defendants argue that default should be vacated as it would be inequitable to

enter a default judgment against the Conways, stating:

Here,

the One Day Defendants have already established that neither they nor the

Conway Defendants are liable. In fact, the Court has already granted summary

judgment in favor of the One Day Defendants, finding that the 2013 Franchise Agreement's post-term covenant not to compete is unenforceable under California. See May 21, 2024, Order Granting One Day Defendants' Mot. for Summ. J. Moreover, the Court has already denied CBDF's motion for reconsideration of that order (see July 7, 2024, Order Denying CBDF's Mot. for Recon.) and entered a judgment in favor of the One Day Defendants (see Nov. 11, 2024, Judgment). Accordingly, it would be inequitable and unjust for the Court to enter a default judgment against the Conway Defendants, where that judgment would depend on finding contrary to the Court's prior orders and prior judgment. In other words, the Court has already held that the 2013 Franchise Agreement's post-term covenant not to compete is unenforceable under California law and should not ignore that holding by entering a default judgment against the Conway Defendants.

(Motion, 2: 14-26.)

On 7/28/2025, the Court set an OSC re: entry of default judgment, and ordered supplemental briefing from CBDF explaining why it may recover from the Conways notwithstanding the Court's findings that the contract may not be enforced under California law.

In supplemental briefing, CBDF argues that "[t]he Conways' motion incorrectly assumes that the summary judgment granted in favor of the One Day Defendants

negates all potential liability for the Conways. This argument fails because the Complaint alleges independent grounds for liability against the Conways that are not contingent on the One Day Defendants' liability." (Supp. Opp., 3: 8-9.) CBDF argues that the Conways have also violated claims not asserted against any other defendant, such as Breach of Written Contract and Breach of the Implied Duty of Good Faith and Fair Dealing.

However, as previously noted, these claims all derive from the Franchise Agreement's post-term covenant which this Court already found to be unenforceable under California law. CBDF's briefing does not include any persuasive argument that the claims against the Conways do not implicate the post-term covenant, or that a default judgment against them would not necessarily require an enforcement of the post-term covenant.

Finally, while the Court notes that the Conways have not shown mistake, inadvertence, surprise under section 473(b), to allow default judgment to move forward would result in enforcement of a provision that this Court has deemed unenforceable under California law. This outcome would create greater inequity and inflict more substantial prejudice than that inflicted on CBDF for the Conways failure to litigate this action. The Conways' default did not impede CBDF's ability to defend itself, nor did it foreclose its ability to argue the post-term covenant was enforceable.

On 2/5/2026, the Court ruled that

the motion should be continued writing:

Still,

after oral argument, the Court finds good cause to continue the motion to

vacate until after CBDF's appeal is considered. This is because, as noted, the

Conways have not shown mistake, inadvertence, surprise under section 473(b). As

such, the equity analysis favoring setting aside default would be dramatically

altered if the Court of Appeal were to determine that the post-term covenant

was enforceable.

Therefore, in order to give the Court

the benefit of an accurate assessment of the facts supporting and detracting

from the equity analysis, the Court finds the motion should be continued until

after CBDF's pending appeal is complete. This continuance will allow the Court

to determine whether or not default should be vacated to avoid the inequitable

result of enforcing an unenforceable provision against the Conways.

On 8/19/2026, the Court of Appeal

affirmed this Court's ruling and found the post-term covenant to be

unenforceable. Accordingly, the Court finds that default judgment cannot be

pursued against the Conways as it would require enforcement of an illegal post-term

covenant.

Based on the foregoing, the Conway's

motion to vacate judgment is granted.

It

is so ordered.

Dated:

August , 2026

Hon. Jon R. Takasugi

Judge of the Superior Court

Parties who intend to submit on

this tentative must send an email to the court at

by 4 p.m. the day prior as directed by the instructions provided on the court

website at www.lacourt.org. If

a party submits on the tentative, the party's email must include the case

number and must identify the party submitting on the tentative. If all parties to a motion submit,

the court will adopt this tentative as the final order. If the department does not receive an email

indicating the parties are submitting on the tentative and there are no

appearances at the hearing, the motion may be placed off calendar. For more

information, please contact the court clerk at (213) 633-0517.